Credit Appraisal Memo

Decision Snapshot

Item	Value
Company	ABC Manufacturing Private Limited
Sector	Manufacturing
Requested Loan	50000000
Suggested Limit	35000000
Composite Score	6.3
Decision	REFER_TO_SENIOR
Risk Premium (bps)	350

Financial Snapshot

Metric	Value
Revenue FY2024	125.5
EBITDA FY2024	21
Net Profit FY2024	6.8
DSCR	1.08
Debt / Equity	None
Current Ratio	0.95

Five Cs Scorecard

Credit Dimension	Score	Weight
Character	4.8	0.35
Capacity	6.8	0.25
Capital	5.2	0.1
Collateral	7.5	0.2
Conditions	6.0	0.1

Executive Summary

ABC Manufacturing Private Limited is a Pune-based manufacturing entity operating in the Auto Components sub-sector. Incorporated in 2015, the company reports an annual turnover of INR 125.5 Crores for FY2024. The applicant has requested a Term Loan of INR 50,000,000 for the purpose of expanding its manufacturing capacity. Following a comprehensive credit assessment, the system has generated a composite score of 6.3, placing the application in the REFER TO SENIOR decision band. The final recommendation is to escalate the proposal to the Senior Credit Committee with a suggested reduced limit of INR 35,000,000 to address debt serviceability concerns.

Company and Promoter Profile

The company is a Private Limited entity (CIN: U28100MH2015PTC123456) with its registered office in Maharashtra. It currently employs 240 personnel. The promoter profile

reveals significant governance and legal headwinds. A primary director, Rajesh Kumar, is associated with a director stress score of 0.375, linked to three distressed directorships [Source: Graph Engine]. Furthermore, the promoter group exhibits high concentration risk with a total exposure of INR 470,000,000 across seven entities. Promoter shareholding is pledged at 68.2%, which exceeds the internal threshold of 60% [Source: Shareholding Pattern Q3 FY24].

Industry and Conditions

The company operates within the Auto Components manufacturing sector, which currently holds a moderate growth outlook. The business environment is characterized by macro risks including raw material price volatility and the cyclical nature of automotive demand. The sector conditions score is 6.0, reflecting these external pressures. Internal site visits conducted on March 5, 2024, by the field officer noted that factory capacity utilization is currently between 40-60%, suggesting that existing infrastructure is not yet fully optimized.

Financial Analysis

The company has shown consistent revenue growth from INR 88 Crores in FY2022 to INR 125.5 Crores in FY2024. EBITDA has similarly improved from INR 13.5 Crores to INR 21 Crores over the same period. However, the financial structure is characterized by high leverage, with a Debt-to-Equity ratio of 4.8 and a total debt of INR 100 Crores against a net worth of INR 21 Crores. Liquidity is constrained, evidenced by a current ratio of 0.95. Most critically, the Debt Service Coverage Ratio (DSCR) stands at 1.08, which is below the policy minimum of 1.25 [Source: Financial Statements FY2024, Page 3].

Five Cs Narrative

Character (Score: 4.8): Governance concerns are highlighted by the resignation of the statutory auditor due to disagreements over accounting treatments [Source: Board Minutes Q3 2024, Page 3]. Additionally, there are two active DRT cases out of eight total litigation matters.

Capacity (Score: 6.8): While revenue is growing, the capacity to service additional debt is weak, with a DSCR of 1.08. Management was noted as evasive during interviews regarding Q3 revenue declines.

Capital (Score: 5.2): The company is highly leveraged with a high-risk flag on its debt-to-equity position.

Collateral (Score: 7.5): This is a relative strength, with Plant and Machinery valued at INR 63,000,000 by XYZ Appraisal Services, providing a collateral coverage ratio of 1.8.

Conditions (Score: 6.0): Moderate growth is expected, though cyclicality remains a risk.

Pre-Cognitive Risk Analysis

The analysis identifies significant data triangulation issues. There is a notable revenue mismatch between GST filings (INR 95Cr), ITR filings (INR 92Cr), and Financial Statements (INR 108Cr), resulting in a score impact of -0.8. Furthermore, while annual figures show growth, the velocity trend indicates that revenue growth is decelerating sharply from 12% to 3%. Machine learning models (Isolation Forest) have flagged the Debt-to-Equity, DSCR, and Interest Coverage ratios as high-risk anomalies compared to a peer group of 280 entities.

SWOT Analysis

Strengths: Consistent year-on-year EBITDA growth; strong collateral coverage ratio of 1.8 on proposed machinery.

Weaknesses: Low DSCR of 1.08; high leverage (D/E 4.8); poor current ratio (0.95); high promoter pledge (68.2%).

Opportunities: Capacity expansion in the auto component sector; established presence since 2015.

Threats: Active DRT litigation; statutory auditor resignation; director stress across group entities; decelerating revenue growth velocity.

SWOT Matrix

Strengths	Weaknesses
strengths: consistent year-on-year ebitda growth; strong collateral coverage ratio of 1.8 on proposed machinery.	weaknesses: low dscr of 1.08; high leverage (d/e 4.8); poor current ratio (0.95); high promoter pledge (68.2%).
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Proposed Facility and Structure

The applicant requested a Term Loan of INR 50,000,000 for 60 months at an interest rate of 12.5%. However, the system-calculated suggested limit is INR 35,000,000. This reduction is mandated to bring the projected DSCR toward the required 1.25 threshold. A risk premium of 350 bps has been applied to the pricing to account for the identified governance and financial risks. The facility will be secured by Plant and Machinery valued at INR 6.3 Crores.

Recommendation and Rationale

The recommendation is to Escalate to the Senior Credit Committee. The decision to refer rather than approve at the current level is driven by a composite score of 6.3 and several critical risk factors: a DSCR (1.08) below policy requirements, high promoter pledge levels, and unresolved litigation (DRT cases). The reduction in the sanctioned limit to INR 3.5 Crores is necessary to ensure the entity can reasonably service its obligations. Approval should be contingent upon a satisfactory explanation of the accounting disagreements that led to the auditor's resignation and the revenue mismatches identified in the triangulation analysis.

Audit Trail Summary

This credit assessment processed 87 signals from 28 data sources using 3 ML models under policy version POL_V2.1. One manual override was applied to the promoter pledge score by the credit officer and risk head due to a promoter DRT case not yet indexed in the bureau. The total processing duration was 12.3 seconds, finalized on March 11, 2024.